SchoolStack Budget

Board Financial Summary

Liberty STEM Charter School

5-Year Financial Overview for Board Review

Prepared March 25, 2026

Financial Outlook: The school's financial outlook is strong.

6 health dimensions are in good standing, 1 should be monitored.

In This Report

This summary is generated from the school's financial model for board discussion purposes.

Financial Outlook at a Glance

The school's financial outlook is strong. 6 health dimensions are in good standing, 1 should be monitored.

Cash Position: Cash remains positive through the full 5-year projection

Financial Overview

Liberty STEM Charter School projects $11,955,646 in Year 5 revenue with a 80.1% net margin. There is 1 area to strengthen, and the recommendations below will help you build a more compelling financial story. Cash flow remains positive over the full 5-year period.

[~] Lender Readiness: Needs Work
[~] Biggest Strength: Strong Year 5 net income
[~] Biggest Risk: Public funding is the primary revenue source — model disbursement timing carefully and maintain cash reserves for funding gaps
[~] Cash Runway: 60+ months

School Overview

Liberty STEM Charter School is a Startup / Pre-Opening Charter School organized as a 501(c)(3) Nonprofit with a funding profile.

5-Year Financial Projection

The model reaches break-even in Year 1. Year 5 change in net assets is projected at $9.7M (81.5% margin).

[+] Revenue per Student (Year 1): $19,750
[+] Staffing Cost (% of Revenue): 13.9%
[+] Operating Cost (% of Revenue): 28.6%
[+] Net margin (Year 1): 57.5%
[+] Net margin (Year 5): 80.1%
[+] 5-Year Revenue Growth: 202.7%

5-Year Change in Net Assets Projection

Year	Students	Revenue	Expenses	Change in Net Assets	Margin
Year 1	200	$4.0M	$1.5M	$2.4M	60.8%
Year 2	300	$5.8M	$1.5M	$4.3M	74.0%
Year 3	400	$7.7M	$1.7M	$5.9M	77.4%
Year 4	500	$9.8M	$2.0M	$7.8M	79.9%
Year 5	600	$12.0M	$2.2M	$9.7M	81.5%

Financial Health Assessment

Across 7 health dimensions: 6 healthy, 1 on watch, 0 at risk.

[+] viability: Healthy
[+] liquidity: Healthy
[+] staffing burden: Healthy
[+] facility burden: Healthy
[+] debt affordability: Healthy
[~] revenue concentration: Watch closely

Health Dimensions

Dimension	Status	Details
Viability	Healthy	The model reaches net income early and sustains strong margins through Year 5.
Liquidity	Healthy	Cash stays positive throughout the projection and reserves exceed 3 months of expenses.
Staffing Burden	Healthy	Staffing at 14% of revenue leaves room for facilities, programs, and reserves.
Facility Burden	Healthy	Facility costs at 5% of revenue are well-managed and leave budget for programs.
Debt Affordability	Healthy	DSCR of 6.41x provides comfortable coverage of debt payments with room to spare.
Revenue Concentration	Watch closely	92% of revenue comes from public funding. This is typical for charter schools, but disbursement timing and policy changes can create cash flow gaps.
Reserve Strength	Healthy	148.5 months of reserves by Year 5 — a strong buffer for unexpected costs.

Key Strengths

The model demonstrates 5 notable strengths.

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[+] Operating Cost (% of Revenue): 28.6%
[+] Net margin (Year 1): 57.5%
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[+] 5-Year Revenue Growth: 202.7%

What to Watch

The board should be aware of 1 key area:

1. Enrollment growth needs demand evidence

Demand is the engine of your financial model. Every revenue line, staffing decision, and cost assumption depends on filling seats. If enrollment falls short, the entire model breaks downstream.

Action: Back every enrollment target with documented demand — signed letters of intent, waitlist depth, community survey results, or recruitment pipeline data. Growth over 25% per year typically requires an exceptional recruitment engine or facility expansion.

Recommended Next Steps

1. Charter Funding Timing & Cash Flow Risk

92.2% of revenue comes from public per-pupil funding — this is enrollment-driven income and a strong foundation. The primary risk is disbursement timing: charter funding follows a state-defined schedule, so ensure you have cash reserves or a line of credit to cover gaps between enrollment counts and payment receipt.

This strengthens the model and reduces future risk.

2. Stress-Test Your Enrollment Assumptions

Model what happens if enrollment comes in 20% below plan. Understanding your downside scenario helps you prepare contingency plans.

This strengthens the model and reduces future risk.

3. Document Your Growth Strategy

Great projections are backed by a clear plan. Document your marketing strategy, enrollment pipeline, and community outreach, as this is the roadmap that turns your numbers into reality.

This strengthens the model and reduces future risk.

Scenario Comparison

The model includes 3 scenarios showing how changes in key assumptions affect Year 5 outcomes.

Scenario	Y5 Revenue	Y5 Net Income	Y5 Margin
Conservative (25% fewer students)	$9.0M	$7.1M	79.6%
State funding cut (-10%)	$10.8M	$8.5M	79.4%
Full capacity ahead of plan	$13.7M	$11.2M	81.4%